> "There is a mild push to job creation via higher allocations to employment-generating spending in rural and urban areas"
> –D.K. JOSHI

Q. Will the budget address the major concerns regarding job creation and how?

▶ **GOYAL:** The budget has taken steps to do so, with incentives for firms and more focus on labour-intensive sectors. The scheme to involve the private sector in skilling and allow the use of CSR funds for this will improve employability and ensure skills are relevant. One firm alone tends to under-train since other firms capture part of the benefit from these activities. This is an example of the classic spillover. So, a public subsidy helps firms raise training towards the socially required amount. The government must ensure benefits go only to the expansion of existing training programmes or to new ones.

▶ **RANADE:** Most of the jobs will be created by the private sector, and that too by small enterprises. The Economic Survey estimates that India needs to generate nearly 8 million jobs every year for the next couple of decades. These are jobs of the future, not of the past or even the present. This means that these jobs call for new skills and training. In India, we have a coexistence of both skills and jobs shortage. The way to acquire skills is not only through college or academies, but on-the-job learning. This requires a national strategy for apprenticeships and internships. The budget has provided the right signals in giving incentives for job creation as well as skilling through apprenticeships.

▶ **JOSHI:** There is a mild push to job creation via higher allocations to employment-generating spending in rural and urban areas. Higher allocation to rural and urban housing schemes will promote construction, which is labour-intensive. Besides these, the announcement of the Purvodaya scheme to enhance infrastructure and road connectivity in Bihar, Jharkhand, West Bengal, Odisha and Andhra Pradesh can also create employment opportunities in construction in the region.

Incentives for skilling and employment of 41 million youth by offering to work in conjunction with the private sector over the next five years will support employment creation. The budget projects spending Rs 2 lakh crore on these new 'employment-linked incentive' schemes over a five-year period.

Q. How do you assess the focus that the budget has accorded to social sectors like education and healthcare?

▶ **GOYAL:** A major reason for under-performance in these areas is overlapping state and central responsibility. If budget initiatives to improve central/state coordination cover these areas also, real improvement is possible. Governance issues are more of a block than finances for the improvement of these services. With rapid urbanisation, many rural areas are actually urban and need well-functioning municipalities with adequate funds and functionaries to provide adequate services.

▶ **RANADE:** India needs to spend up to 6 per cent of GDP on education and skilling. We are not even halfway there. Of course, the bulk of this spending will come from private sources, not just the government. Just as for the past few years, the government has been pushing spending on physical capital (infrastructure), now the time is to push spending on human capital. This includes both health and education. Given that the median age of the country is around 28, it means education is more important than health (although both need much higher spending). We also need to address the fact that malnutrition (if not hunger) is still very significant among children. This calls for a focus on the biofortification of mid-day meals in schools